

# Headline relief masks persistent underlying pressures

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By Neha Sharma

Economist, Westpac

14:50 June 25 2026

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A short video update from the Westpac Economics team on the May CPI.

May CPI posted a strong decline, owing to lower fuel prices and weaker holiday travel. However, underlying inflation remained firm, with housing costs and broader services inflation pointing to persistent domestic price pressures.

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